

is one example of mass customisation. ITC buys agricultural produce through Astra, an artificial intelligence and machine learning platform that helps in smart sourcing or strengthening “our supply chain with digital”, he explains. The impact of digital is now palpable. In the all-critical sales function, ITC taps 12,000 variables. For instance, a salesman has a Generative AI app that points towards trends in his area: it could even be a country fair where the snacks portfolio can be pushed.

Not only is a lot of time saved, it is also put to better use. And the insights are invaluable. Puri says concepts can be tested online with tools such as Unnati, ITC’s B2B app, and Sixth Sense, a sensing engine. That is the first stage. “Our factories have simulation tools, and once a product is ready for launch, the question of when you do it is decided by an algorithm,” he says. That needs to be spaced out well, given the pipeline—in FY23, ITC launched 90 products and over 100 this year.

The best example was Savlon during the pandemic, he says, when people made handwashing an extreme habit. “We scaled manufacturing to move to disinfectants, and it was launched in five to six weeks,” says Puri. In winter, that opportunity came through disinfectant aerosols for clothes. “Now, the use of disinfectants and sanitisers has dropped, but it gave a lot of momentum to Savlon,” he says.

INNOVATION AND BEYOND

ITC emphasises R&D, driven by its Life Sciences and Technology Centre, the innovation base. For Puri, innovation and product quality are key focus areas. A recent launch was Aashirvad Besan, and, as he puts it, while it looks like a simple product, the challenge was to avoid lump formation when water is added to form a batter. “To get the right taste, you need the right *channa*, and that’s where our agri backend comes in.”

Shirish Pardeshi, Co-Head (Research) at Centrum Broking, believes the “cutting-edge technology-backed innovation” has helped ITC launch 300+ differentiated products in its FMCG basket. “It has enabled them to define new vectors of growth and reflects in the success of initiatives in cream biscuits, value-added *atta*, milk and beverages. It will help them improve throughput in D2C channels, including modern trade and quick commerce platforms.”

Be it any business, Puri says the aspiration is to be the leader not just in financial performance but also in product quality. Sometimes there are glitches, as in cigarettes where ITC is No. 1. But it says the legal market is 8-9% of the total consumption basket. The rest comes from smuggled cigarettes. “Taxation is ex-

Big Pie

❶ The diversified ITC’s businesses are FMCG-cigarettes, FMCG-others, agri, paperboards, hotels, and IT

❷ A core part of the strategy is digital, and the impact is being felt across its businesses

❸ With an agri backend, the company is in a strong position to launch innovative products

❹ The demerger of the hotel business is a recent development as it gears up for the next round of growth



“It (cutting-edge technology-backed innovation) has enabled them (ITC) to define new vectors of growth”

SHIRISH PARDESHI
CO-HEAD (RESEARCH),
CENTRUM BROKING



“ITC’s product launches and innovation become entry barriers for competition. It has been very aggressive on both”

ABHIJEET KUNDU
SENIOR VICE-PRESIDENT
OF RESEARCH, ANTIQUE
STOCK BROKING